hard and rigid character assumes a fixed world and a static individual; and neither of these things exists. It implies that we can prophesy the future—an attempt which terminates, as someone has said, in prophesying the past or in its reduplication.

II · The Economic Basis of the New Society*

The imminence of the "next world war" has caused the last World War to recede from thought, discussion and imagination except in negative ways. During the progress of the World War positive attitudes and hopes were generated and positive plans and objectives put forward for the creation of a better human society. The fact that these hopes were betrayed and objectives failed to be realized is evidence of our failure to take advantage of the opportunity that was unquestionably there. It is not a condemnation of those hopes and objectives.

The constructive thought of that period centered about two comprehensive objectives: the establishment of a system of international law that would ensure peaceful relations between nations; and the reorganization of the social and economic relations within nations. Passing over the former objective, let us consider the latter.†

I quote the statement I made then concerning the objectives for internal social reorganization then afoot, plans and programs, it may be pointed out, which claimed the attention not only of progressive individuals but of political parties. Unfortunately, I need make no apology for quoting from an article written nearly twenty years ago. The evils existing then still exist now, the things needing to be done then still need to be done now.

"The first of the deficiencies which will have to be

* Written specially for this volume.—Ed.

† "The former objective" is the subject of Chapter Nine.—Ed.

cared for in any effective reorganization which may take place after the war is the failure of our social order in the past to secure to its members steady and useful employment. It would be difficult to bring any more severe indictment against anything that calls itself a civilization, than the fact that it is not able to utilize the energy, physical, intellectual and moral, of the members who are desirous and anxious of rendering some kind of service, of producing some kind of needed and useful commodity; that it has not been able systematically to give all of its members a chance to do something. The evil, and the unnecessary character of the evil of unemployment is, then, the thing which I would put first, because it represents, in anything that professes to be civilization, the most obvious and definite point of weakness.

"Now, this is serious, not merely from the standpoint of the enormous poverty and misery which insecure and precarious employment entails upon a large part of the population, but, if possible, even more serious because of the undermining of morale, of character, which comes with such a situation as this. We all know how demoralizing charity is. Every society of organized charity is teaching and constantly preaching the evils of indiscriminate charity, how it destroys the character of those who become its recipients. Cannot we generalize this lesson and apply it to the whole industrial situation? What is the effect upon the self-respect of the large classes of men and women who periodically, once in so often, find themselves in large numbers thrown out of employment, and find that they have to beg, not for charity, but for even a chance to do work in turning out commodities or in rendering services which society actually needs? The undermining of confidence in oneself, of respect for oneself, the undermining of faith or belief in the world and in others that comes be-

cause of precarious and insecure tenure of employment is I think impossible to overestimate. When people find that they cannot do things that they are capable of doing, the attitude that comes toward the world is either one of impotence and enfeeblement, or else one of bitterness and hostility. Now, these things are, perhaps, sufficiently obvious. They are not new. There was plenty of discussion of the problem of unemployment and the remedies for it, before the war, but the war in its conduct has made the consciousness of it more acute and more general, and it has shown that the problem is not inevitable, that it is capable of human administration and handling. It has proved that it is possible for men, pooling and organizing their intelligence and experience, and having the authority of the government behind them, to take hold of the industrial and economic processes and see to it, even in a period of such great stress as during the war, that no man or woman who is capable of work shall lack useful, steady, and reasonably remunerative employment.

"The second evil is the degraded and inhuman standard, or scale, of living which is found on the part of so many of the industrial population—of course, partly as a consequence of chronic employment or, at least, insecure employment, but partly because of the low rate of return for employment. We are accustomed, of course, to connect low wages and lack of work with poverty and suffering, but we too often fail to translate poverty and the misery that goes with it into terms of the general vitiation, the general deterioration of the scale of life on the part of a large element of the population. We fail to note what an unhuman lowering it means of the standard of physical health—though here again was a point that was being agitated more and more, even before the war, involving a consideration of the question of the socially un-

necessary deaths, illnesses, accidents and incapacitations that come from the bad economic conditions under which so much of modern industry is carried on. We need only to think of the conditions under which masses of our populations live, not merely in the slums, but wherever there is a congested industrial population, to realize how low, as compared with the attained standards of the well-to-do element of the population their plane of living really is.

"In the third place, the war has revealed the serious weaknesses and defects which exist with respect to efficiency of production and distribution. Now, this is the particular phase of the matter upon which our existing old social order most prided itself. It might have admitted that it had not done so well with the human side of the problem, but it has been contended that, so far as efficiency in the invention, organization and utilization of the machinery of production and distribution is concerned, the present age is almost infinitely in advance of any that has preceded. Of course, in a certain sense, as compared with older civilizations—those that came before the great industrial revolution—this is true enough; for these mechanical inventions are, of course, the product of scientific discovery. They are the product of the release of men's minds in the study of nature and the mystery of natural forces. It is a great mistake to suppose that our mechanical inventions of machines and implements—the steam engine, the telegraph, the telephone, the motor car, and the other agencies of production and distribution—are the actual fruit of the present industrial order. On the contrary, they are the fruit of the discoveries of a comparatively small number of scientific men who have not labored for recognition and who have never got it, very much —at least, in the way of pecuniary recognition. It simply happened that conditions were such that the men of means,

men possessed of the financial and pecuniary resources, could utilize these fruits of natural science.

"Furthermore, efficiency is not an absolute thing; but, of course, as every engineer tells us, it is a matter of ratio. Efficiency is a matter of the ratio which the actual output bears to the available resources; and looked at from that standpoint, not in comparison with the output of past ages, but as a matter of ratio which exists now between the present output and the resources now available, we cannot pride ourselves on having attained any great amount of even industrial efficiency in production. I need hardly remind you of the fact that when greater efficiency was required in England and in this country, the government had to take charge of the distributing agencies, the railroads. I need not remind you of the breakdown in the production and distribution of coal, from which we suffered; and however much or however little the blame for that is to be laid at the doors of any particular individuals, the real difficulty, of course, goes much further back. It goes back to the fact that we have had production and distribution organized on a non-social basis—a basis of pecuniary profit. And when they suddenly had to be switched over to the basis of public need and public service, they naturally broke down. The great inefficiency here is, however, the failure to utilize human power. The great advance has, of course, been in the utilizing of natural power—steam and electricity, the machines, implements, and so on; but we have not succeeded in engaging, enlisting and releasing available human energy.

"The first great demand of a better social order, I should say, then, is the guarantee of the right, to every individual who is capable of it, to work—not the mere legal right, but a right which is enforceable so that the individual will always have the opportunity to engage in some form

of useful activity; and if the ordinary economic machinery breaks down through a crisis of some sort, then it is the duty of the state to come to the rescue and see that individuals have something to do that is worth while—not breaking stone in a stone yard, or something else to get a soup ticket with, but some kind of productive work which a self-respecting person may engage in with interest and with more than mere pecuniary profit. Whatever may be said about the fortunes of what has technically been called socialism, it would seem to be simply the part of ordinary common sense that society should reorganize itself to make sure that individuals can make a living and be kept going, not by charity, but by having productive work to do.

"In the second place, war has revealed the *possibilities* of intelligent administration—administration which *could* be used to raise and maintain on a higher level the general standard and scale of living. The minimum wage is not one of the visions of the nations that have been longer in the war than we have; it is not, with them, a dream, an uplift notion: it is an accomplished fact. Great Britain is already spending an immense amount of money for the housing of its laborers, and, as we have found out in connection with our shipping program, we cannot do what we have got to do, unless we first see to it that there are decent, comfortable and sanitary housing facilities for the population. One of the demands which has already been made in England, which would help, also, to take care of the unemployment problem after the war, is that this great work of housing, conducted under national social auspices, shall go on until the slums, with their bad sanitary, moral, and bad esthetic influence, have disappeared and every individual has a home to live in and surroundings to live in which observe the ordinary amenities of

human life. The movements for insurance against accident, insurance against illness, insurance against the contingencies of old age, which were already active before the war, have also, of course, been given a tremendous acceleration.

"The third phase that I mention is the need of securing greater industrial autonomy, that is to say, greater ability on the part of the workers in any particular trade or occupation to control that industry, instead of working under these conditions of external control where they have no interest, no insight into what they are doing, and no social outlook upon the consequences and meaning of what they are doing. This means an increasing share given to the laborer, to the wage earner, in controlling the conditions of his own activity. It is so common to point out the absurdity of conducting a war for political democracy which leaves industrial and economic autocracy practically untouched, that I think we are absolutely bound to see, after the war, either a period of very great unrest, disorder, drifting, strife—I would not say actual civil war, but all kinds of irregular strife and disorder, or a movement to install the principle of self-government within industries.

"These three things, then, seem to me the essential minimum elements of an intelligent program of social reorganization."

The idea of reconstruction was at the time the foregoing was written something to conjure with. In retrospect, we may come to the conclusion, widely prevalent today, that the whole idea of social reorganization was an illusion bred of the excited state of mind of the war. If that idea seems an illusion today, it is because we failed to *learn* the lesson, which could be truly learned only by carrying it out into practice. If we fail to learn the lessons of the

present day—in fundamental respects identical with those of twenty years ago—then we may be sure that twenty years hence our present most ardent hopes and inspired programs will also be dismissed as illusions.

To quote again:

"Now, in such a situation as this, we are not, I think, entitled to unthinking optimism about the certainty of great progress or about the particular direction which social reorganization will take after the war. There is going to be, of course, a very great demand and a very great pressure, especially from the side of labor, but there will also be a very great inertia, very great obstacles and difficulties to contend with. We are not entitled to assume that automatically there is going to be a desirable reorganization and reconstruction after the war. We may, possibly—it is conceivable—go through a long period of social drifting and social unrest. The question is whether society, because of the experience of the war, will learn to utilize the intelligence, the insight and foresight which are available, in order to take hold of the problem and to go at it, step by step, on the basis of an intelligent program —a program which is not too rigid, which is not a program in the sense of having every item definitely scheduled in advance, but which represents an outlook upon the future of the things which most immediately require doing, trusting to the experience which is got in doing them to reveal the next things needed and the next steps to be taken. Now, the one great thing that the war has accomplished, it seems to me, of a permanent sort, is the enforcement of a psychological and educational lesson. Before the war, most persons would have said, who recognized these evils: Well, they are very great. We all recognize them. We deplore them, but the whole situation is so big and so complicated that it is not possible to do any-

thing about it. We have got to wait for the slow process of evolution. We have got to wait for the working out of unconscious, natural law to accomplish anything serious and important in the way of reorganization. Well, I think the war has absolutely put an end to the right to the claim of anybody to say things of that sort. It is proved now that it is possible for human beings to take hold of human affairs and manage them, to see an end which has to be gained, a purpose which must be fulfilled, and deliberately and intelligently to go to work to organize the means, the resources and the methods of accomplishing those results.

"It seems to me that we cannot in any good conscience return, after the war, to the old period of drifting, so-called evolution, as a necessary method of procedure. The real question with us will be one of effectively discerning whether intelligent men of the community really want to bring about a better reorganized social order. If the desire, the will and the purpose are strong enough, it has been demonstrated that, under conditions of very great strain—abnormal strain and pressure—human beings can get together coöperatively and bring their physical resources and their intellectual resources to bear upon the problem of managing society, instead of letting society drift along more or less at the mercy of accident."*

Events after the war in this country seemed to give the lie to the hopes then entertained. "Return to Normalcy" was not only the slogan but the practice—"normalcy" meaning the old social-economic regime. Attempts at radical social change were defeated in Europe in every country save Russia. Italy and Germany moved into Fascist dictatorships and other European and South American

* All quotations from an article entitled "Internal Social Reorganization After the War," first printed in the *Journal of Race Development*, April 1918; reprinted in *Characters and Events*, vol. II pp. 745 ff.

countries in that direction. Social reorganization did take place but in a direction opposite to that of the hopes entertained by liberals and radicals in the earlier period. Nevertheless, the forecast of "serious internal disorder and unrest" has been fulfilled.

After the world depression of 1929, the earlier idea of reconstruction revived, not under that name but, in this country, under the slogan of the New Deal. It has become increasingly evident that the conditions which caused the World War remain in full force, intensified indeed by the growth of exacerbated Nationalism—which is the direction in which "internal social reorganization" has in fact mainly moved. Failure of the world communities to "meet and forestall" needed change with "sympathy and intelligence" has left us with the old problems unsolved and new ones added.

The change is not, however, a matter of mere addition. Re-grouping of forces has crystallized forces which were more or less in solution and has given a new face, theoretically and practically, to the whole set of social problems that is involved. The urgent and central question at the present time is whether the needed economic-social changes (with which legal and political changes are bound up) can be effected in ways which preserve and develop what was fundamental in earlier liberalism, or whether social control is to be instituted by means of coercive governmental control from above in ways which destroy for a time (a time whose length cannot now be measured) all that was best worth conserving in older democratic ideas and ideals: intellectual and moral freedom; freedom of inquiry and expression; freedom of association in work, recreation and for religious purposes; the freedom of intercourse among nations which, always hampered by tariff-walls and fear of war, is now deliberately suppressed in

many countries by a multitude of new technical devices.

This new face of the problem is far from being exhibited solely in Fascist nations, although in them the suppression of liberties of thought, expression and teaching; the dissolution of voluntary groupings, such as trade unions; the threat to voluntary association for worship; and the prevention of free intercourse with other nations have their most marked expression. Nor is the problem confined to the one country in which reconstruction in the line of collectivist control during the early period after the World War made the most headway; for, contrary to the earlier belief in the "withering away of the State," governmental restriction of the essential liberties for which democracy stood has reached, through control of thought, expression, propaganda and direct coercion, a point in which there is little difference discernible between the U.S.S.R. and Fascist countries.

The fundamental problem is also acute in the countries that remain democratic in form and that so far have maintained, though with many violations, the ancient democratic liberties of free inquiry, free assembly, and freedom of voluntary association. For in these countries we have to a very large extent a continuation of the older policy of social drifting plus an amount of social tinkering accompanied by social unrest and uncertainty. Experience has proved that this policy is attended by economic collapse and breakdowns of ever increasing severity. As long as the alternatives set before us are rigid governmental control on the one hand, whether of the Fascist or the Russian type, and "democracy" of the drifting type on the other hand, the question to which I referred in the article quoted, "whether society will learn to utilize the intelligence, the insight and foresight which are available to go at the problem" of economic-social readjustment remains

and is even more urgent today in this country than it was when the words were first written.

How much progress has been made in the intervening years? How does the situation now stand? We have a recognition which did not exist before of social responsibility for the care of the unemployed whose resources are exhausted in consequence of unemployment. But at best, the method we employ is palliative: it comes after the event. The positive problem of instituting a social-economic order in which all those capable of productive work will do the work for which they are fitted remains practically untouched. As a result, the conduct of relief and charitable care is almost never at what was termed "at the best." The personal deterioration that results from enforced idleness is a coercion which excludes the idle from the factors that contribute most effectively to decent self-respect and to personal development. While the mass of unemployed have met the situation with patience and even dignity, there can be no question that the corroding influence of living without work, upon the charity of others, private and public, is operating. In the long run, it would be difficult to find anything more destructive of the best elements of human nature than a continued prospect of living, at least of subsisting, in more or less parasitical dependence upon charity, even if it is public.

In saying these things, I am expressing no sympathy for those who complain about the growing amount of money spent upon taking care of those thrown out of productive work and the consequent increase in taxation. Much less am I expressing sympathy with the reckless charges brought against the unemployed of loving idleness and wishing to live at the expense of society. Such complaints and charges are the product of refusal to look at the causes which produce the situation and of desire to find

an alibi for their refusal to do anything to remove the causes—causes which are inherent in the existing social-economic regime. The problem of establishing social conditions which will make it possible for all who are capable to do socially productive work is not an easy one. I am not engaging in criticism because it has not been solved. I am pointing out that the problem is not even being thought much about, not to speak of being systematically faced. The reason for the great refusal is clear. To face it would involve the problem of remaking a profit system into a system conducted not just, as is sometimes said, in the interest of consumption, important as that is, but also in the interest of positive and enduring opportunity for productive and creative activity and all that that signifies for the development of the potentialities of human nature.

What gain has been made in the matter of establishing conditions that give the mass of workers not only what is called "security" but also constructive interest in the work they do? What gain has been made in giving individuals, the great mass of individuals, an opportunity to find themselves and then to educate themselves for what they can best do in work which is socially useful and such as to give free play in development of themselves? The managers of industries here and there have learned that it pays to have conditions such that those who are employed know enough about what they are doing so as to take an interest in it. Educators here and there are awake to the need of discovering vocational and occupational abilities and to the need of readjusting the school system to build upon what is discovered. But the basic trouble is not the scantiness of efforts in these directions, serious as is their paucity. It is again that the whole existing industrial system tends to nullify in large measure the effects of these efforts even when they are made. The problem of the adjustment of

individual capacities and their development to actual occupations is not a one-sided or unilateral one. It is bilateral and reciprocal. It is a matter of the state of existing occupations, of the whole set-up of productive work, of the structure of the industrial system. Even if there were a much more widespread and searching concern with the capacities of individuals and much more preparation of them along the lines of their inherent fitness and needs than now exists, what assurance is there in the existing system that there will be opportunity to use their gifts and the education they have obtained? As far as the mass is concerned, we are now putting the social cart before the social horse.

If we take the question of production, what do we find? I pass by the basic fact that real production is completed only through distribution and consumption, so that mere improvement in the mechanical means of mass production may, and does, intensify the problem instead of solving it. I pass it over here because recurring crises and depressions, with the paradox of want amid plenty, has forced the fact upon the attention of every thoughtful person. The outcome is sufficient proof that the problem of production cannot be solved in isolation from distribution and consumption. I want here to call attention rather to the fact that the present method of dealing with the problem is *restriction* of productive capacity. For scarcity of materials and surplus of those who want to work is the ideal situation for profit on the part of those situated to take advantage of it. *Restriction of production* at the very time when *expansion* of production is most needed has long been the rule of *industrialists*. Now the Government is adopting the same policy for agriculturalists. Those who practice restriction of production in their own businesses cry out loudly when the Government, following

their example, intervenes to kill pigs, plow under cotton, and reduce the crop of cereals, and does it, moreover, when there is the most urgent need for food. Here again, as in the case of public relief, critics prefer to complain about symptoms rather than to face the cause: The inherent exigencies of the existing social-economic system. Anyone can wax eloquent about the high social function of those who farm, mine and quarry, providing the raw materials not only of food, clothing and shelter but also of all later forms of production of both capital and consumer goods. Anyone can wax pathetic over the plight of agriculture. But under present conditions, the former course is to put the burden of carrying society upon the class now least competent to bear it, and the latter course is to engage in idle sentiment.

The ultimate problem of production is the production of human beings. To this end, the production of goods is intermediate and auxiliary. It is by this standard that the present system stands condemned. "Security" is a means, and although an indispensable social means, it is not the end. Machinery and technological improvement are means, but again are not the end. Discovery of individual needs and capacities is a means to the end, but only a means. The means have to be implemented by a social-economic system that establishes and uses the means for the production of free human beings associating with one another on terms of equality. Then and then only will these means be an integral part of the end, not frustrated and self-defeating, bringing new evils and generating new problems.

The problem today remains one of using available intelligence, of employing the immense resources science has put at our disposal: a pooled and coördinated social intelligence, not the mere scattered individualized intelli-

gences of persons here and there, however high their I.Q.'s may be. Mere individual intellectual capacities are as ineffective as are mere personal good intentions. The existence of social objective intelligence brings us back to the point where we started. Social control effected through organized application of social intelligence is the sole form of social control that can and will get rid of existing evils without landing us finally in some form of coercive control from above and outside.

A great tragedy of the present situation may turn out to be that those most conscious of present evils and of the need of thorough-going change in the social-economic system will trust to some short-cut way out, like the method of civil war and violence. Instead of relying upon the constant application of all socially available resources of knowledge and continuous inquiry they may rely upon the frozen intelligence of some past thinker, sect and party cult: frozen because arrested into a dogma.

That "intelligence," when frozen in dogmatic social philosophies, themselves the fruit of arrested philosophies of history, generates a vicious circle of blind oscillation is tragically exemplified in the present state of the world. What *claims* to be social planning is now found in Communist and Fascist countries. The *social* consequence is complete suppression of freedom of inquiry, communication and voluntary association, by means of a combination of personal violence, culminating in extirpation, and systematic partisan propaganda. The results are such that in the minds of many persons the very idea of social planning and of violation of the integrity of the individual are becoming intimately bound together. But an immense difference divides the *planned* society from a *continuously planning* society. The former requires fixed blueprints imposed

their example, intervenes to kill pigs, plow under cotton, and reduce the crop of cereals, and does it, moreover, when there is the most urgent need for food. Here again, as in the case of public relief, critics prefer to complain about symptoms rather than to face the cause: The inherent exigencies of the existing social-economic system. Anyone can wax eloquent about the high social function of those who farm, mine and quarry, providing the raw materials not only of food, clothing and shelter but also of all later forms of production of both capital and consumer goods. Anyone can wax pathetic over the plight of agriculture. But under present conditions, the former course is to put the burden of carrying society upon the class now least competent to bear it, and the latter course is to engage in idle sentiment.

The ultimate problem of production is the production of human beings. To this end, the production of goods is intermediate and auxiliary. It is by this standard that the present system stands condemned. "Security" is a means, and although an indispensable social means, it is not the end. Machinery and technological improvement are means, but again are not the end. Discovery of individual needs and capacities is a means to the end, but only a means. The means have to be implemented by a social-economic system that establishes and uses the means for the production of free human beings associating with one another on terms of equality. Then and then only will these means be an integral part of the end, not frustrated and self-defeating, bringing new evils and generating new problems.

The problem today remains one of using available intelligence, of employing the immense resources science has put at our disposal: a pooled and coördinated social intelligence, not the mere scattered individualized intelli-

from above and therefore involving reliance upon physical and psychological force to secure conformity to them. The latter means the release of intelligence through the widest form of coöperative give-and-take. The attempt to *plan* social organization and association without the freest possible play of intelligence contradicts the very idea in *social* plan*ning*. For the latter is an operative method of activity, not a predetermined set of final "truths."

When social "planning" is predicated on a set of *"final"* truths, the social end is fixed once for all, and the "end" is then used to justify whatever means are deemed necessary to attain it. "Planning" then takes place only with respect to means of the latter sort, not with respect to ends, so that planning with respect to even means is constrained and coercive. The social result is that the means used have quite other consequences than the end originally set up in idea and afterwards progressively reduced to mere words. As the events of the past twenty years have shown, the seizure of political power by force signifies the continued maintenance of power by force with its continued suppression of the most precious freedoms of the individual spirit. Maintenance of power in order to use force becomes the actual end. Means used determine the end actually reached. The end justifies the means only when the means used are such as actually bring about the desired and desirable end.

Only when reflection upon means and choice of ends are free can there be actual social planning. Every arrest of intelligence (and every form of social dogma is an arrest) obstructs and finally suppresses free consideration and choice of means. The method of social intelligence is primarily concerned with free determination of means to be employed. Until that method of social action is adopted

we shall remain in a period of drift and unrest whose final outcome is likely to be force and counterforce, with temporary victory to the side possessed of the most machine guns.